MARLOW TAX & ADVISORY LTD

Restructuring Advisory

INDEPENDENT BUSINESS REVIEW

Harledge Foods Group Limited — Project Harbor

Final report · 21 November 2025 · Prepared for Pennine Business Bank plc

Important notice: This report has been prepared by Marlow Tax & Advisory Ltd solely for Pennine Business Bank plc under the terms of our engagement letter dated 16 October 2025. It is based on information provided by management and has not been audited. We accept no duty of care to any other party.

1. Executive summary

Harledge Foods Group Limited manufactures chilled ready meals and ambient sauces from two sites in Kent, supplying UK grocery multiples and food-service customers. FY24 (year ended 31 March 2025) revenue was £86.2m (FY23: £81.4m), but EBITDA fell to £7.65m (FY23: £11.2m) as energy costs, a delayed price-recovery from two major retail customers and an over-run on the Tenterden line automation project compressed margins. Net senior debt of £41.4m gave leverage of 5.41x at September 2025, breaching the 3.75x covenant.

In our view the business is fundamentally viable. The price-recovery negotiations have now largely concluded (a blended 7.2% uplift effective from October 2025) and the automation project is complete and de-risked. On the management base case, with the proposed £8.0m super-senior money and £5.0m shareholder injection, the Group returns to covenant compliance by December 2026 and maintains minimum liquidity above £2.5m throughout. We support the proposed restructuring.

2. Trading and forecast

The 18-month integrated forecast (the base case) is summarised below. It assumes revenue growth of 3.5% per annum, EBITDA margin recovering from 8.9% (FY25) to 11.4% (FY27), and capex held at maintenance levels of £2.4m per annum.

£m	FY25A	FY26F	FY27F
Revenue	86.2	89.2	92.4
EBITDA	7.65	9.30	10.55
EBITDA margin	8.9%	10.4%	11.4%
Net senior debt (year end)	41.4	38.9	33.1
Leverage (Net Debt : EBITDA)	5.41x	4.18x	3.14x

3. Liquidity

The Group’s short-term liquidity is tight: without new money it would breach its minimum operating cash requirement in late January 2026. The £5.0m Tranche A super-senior facility plus the £5.0m shareholder loan provide headroom of approximately £6.2m at the trough (February 2026), reducing to no lower than £2.9m across the forecast, comfortably above the proposed £2.5m minimum liquidity covenant. The £3.0m Tranche B, conditional on the December 2025 EBITDA milestone of £2.1m, provides a further buffer for the H1 2026 working-capital build.

4. Sensitivities

We have stress-tested the base case. A downside scenario (revenue flat, margin recovery delayed by six months) still returns the Group to compliance by June 2027 but requires the

Tranche B funding and one equity cure in Q1 2026. A severe downside (a 5% volume loss on the largest retail contract) would require a further conversation with stakeholders; we regard its probability as low given the contract runs to 2028.

5. Recommendation

We recommend that Pennine Business Bank plc support the consensual restructuring on the terms of the term sheet dated 14 November 2025. The combination of new super-senior money, the subordinated shareholder injection, the covenant reset and the enhanced reporting package gives the Group a reasonable prospect of recovery while improving the Lender's security position.

Duncan Reeves

Partner, Restructuring Advisory

Marlow Tax & Advisory Ltd